AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X

ANNUAL EXAMINATIONS 2021

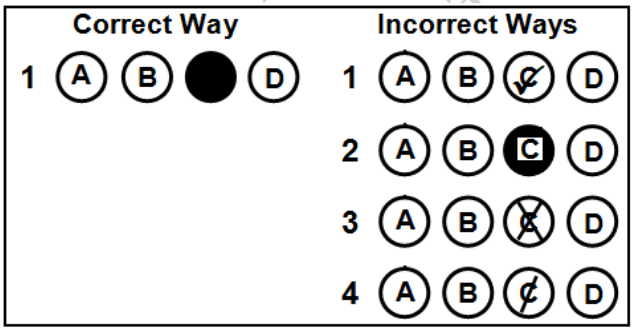
Principles of Accounting

Time: 1 hour 40 minutes Marks: 50

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 50 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. The marks obtained on the 50 MCQs will be equated to the total marks of 75 for the theory examination results.
8. You may use a simple calculator if you wish.
9. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. On March 31, 2019, an old computer costing Rs 55,000 with an allowance (provision) of depreciation of Rs 22,000 was exchanged by Aafia Traders with a new computer costing Rs 65,000. The agreed trade in allowance (provision) was Rs 28,000.

   The amount of cash to be paid by Aafia Traders on exchange of this old computer would be

   A. Rs 27,000
   B. Rs 33,000
   C. Rs 37,000
   D. Rs 43,000

2. Zaigham Associates bought a machine costing Rs 330,000 on January 01, 2019 on credit. The life of the machine was estimated to be of 10 years.

   If the business uses the sum of the year digit method for charging depreciation, then the amount of depreciation for the year ended December 31, 2019 would be

   A. Rs 15,000
   B. Rs 33,000
   C. Rs 45,000
   D. Rs 60,000

Use the given information to answer Q.3 and Q.4.

The details related to the production plant of Hiba Automobiles as on January 01, 2018 were as under:

Account Title	
Production plant cost	Rs 2,500,000
Allowance (provision) for depreciation	Rs 700,000
Production life in hours	1,000,000 hours
Hours worked during 2018	70,000 hours

Hiba Automobiles uses working hours method for charging depreciation.

3. The amount of depreciation to be charged on the production plant during 2018 would be

   A. Rs 28,000
   B. Rs 175,000
   C. Rs 728,000
   D. Rs 875,000

4. If on May 31, 2019, the business sold the plant after using it for 30,000 hours during 2019 for Rs 1,600,000, then the amount of gain or loss would be

   A. gain Rs 25,000
   B. gain Rs 50,000
   C. loss Rs 25,000
   D. loss Rs 50,000

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5. An old equipment having a cost of Rs 240,000 and accumulated depreciation of Rs 80,000 was exchanged with a new machine costing Rs 400,000 at an agreed trade in value of Rs 150,000.

   The amount of gain/ loss on the exchange at the end of the year would be

   A. gain Rs 10,000
   B. gain Rs 160,000
   C. loss Rs 10,000
   D. loss Rs 160,000

6. A business purchased an asset on April 01, 2020 and the life of the asset is 5 years. The accounting year of the business ends on December 31 each year.

   The formula used to calculate depreciation for 2020 by the sum of the year digit method would be

   A. (cost) × (5÷15)
   B. (cost) × (5÷15) × (3÷12)
   C. (cost) × (5÷15) × (9÷12)
   D. (cost÷5) × (3÷12)

7. A business bought a machine at an invoice price of Rs 800,000. The machine is depreciated by the sum of the year digit method. The details about the purchase of the asset are as under:

Expenditure Incurred on Purchase of Machine	Amount (Rs)
Capital expenditures	60,000
Revenue expenditures	30,000

   The cost at which the depreciation will be calculated is

   A. Rs 800,000
   B. Rs 830,000
   C. Rs 860,000
   D. Rs 890,000

8. With reference to non-current (fixed) assets, the account that would have credit balance is

   A. allowance (provision) for depreciation account.
   B. asset account.
   C. depreciation expense account.
   D. cash account.

9. An asset bought on January 05, 2020 at a cost of Rs 1,000,000 has a scrap value of Rs 50,000.

   If the asset can be used for 475,000 hours, then the rate of depreciation would be

   A. Rs 0.5 per hour.
   B. Rs 2 per hour.
   C. Rs 9.5 per hour.
   D. Rs 20 per hour.

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10. The BASIC reason for maintaining allowance (provision) for trade receivables (accounts receivable) is to

    A. follow the accounting policies consistently.
    B. maintain an account for the collection of trade receivables (accounts receivable).
    C. record the expenses against the benefits generated through these assets.
    D. show these assets at historical cost.

11. A business received Rs 20,000 from a customer, Almas. Her account was previously written off as bad debt.

    The account title that will be debited because of the cash receipt by indirect method will be

    A. bad debt expense.
    B. bad debt recovered.
    C. sales revenue.
    D. trade receivable (account receivable).

12. Increase in the rate of allowance (provision) for bad debts decreases the

    A. bad debt written off.
    B. bad debts recovered.
    C. net trade receivables (accounts receivable).
    D. total expense.

13. When a business receives intimation from the bank that a customer is unable to pay its debts then this will be termed by the business as

    A. allowance (provision) for bad debt.
    B. bad debt written off.
    C. doubtful debts.
    D. bad debt recovered.

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14. Which of the following options CORRECTLY explains the aging method of valuing trade receivables (accounts receivable)?

A	Age of trade receivable	1-30 days	31-60 days	61-90 days
		Rs 60,000	Rs 50,000	Rs 40,000
	Rate of allowance (provision)	10%	10%	10%
B	Age of trade receivable	1-30 days	31-60 days	61-90 days
		Rs 60,000	Rs 50,000	Rs 40,000
	Rate of allowance (provision)	10%	5%	5%
C	Age of trade receivable	1-30 days	31-60 days	61-90 days
		Rs 60,000	Rs 50,000	Rs 40,000
	Rate of allowance (provision)	1%	5%	10%
D	Age of trade receivable	1-30 days	31-60 days	61-90 days
		Rs 60,000	Rs 50,000	Rs 40,000
	Rate of allowance (provision)	2%	5%	3%

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15. The detailed schedule of trade receivables (accounts receivable) maintained by Ameen Associates for the year ended December 31, 2019 is as under:

Name of Customer	Total Receivables (Amount Rs)	Age of Trade Receivables (Accounts Receivable) (Amount Rs)		
		0-45 Days	46-90 Days	90+ Days
Azaan	45,000	35,000	10,000	
Nakia	62,000	42,000	20,000	
Ayat	83,000	68,000	10,000	5,000
Total	**190,000**	**145,000**	**40,000**	**5,000**

The past experiences of Ameen Associates suggest the following rate of allowance (provision) for doubtful debts:

Age of Trade Receivables (Accounts Receivable)		
0-45 Days	46-90 Days	90+ Days
1%	5%	10%

The amount of allowance (provision) for doubtful debts that will be shown in the statement of financial position (balance sheet) at the year-end would be

A. Rs 1,900
B. Rs 3,950
C. Rs 15,200
D. Rs 16,550

16. Abbas Brothers have trade receivables (accounts receivable) balance of Rs 215,000 and allowance (provision) for bad debts shows a credit balance of Rs 8,000. The management has decided that the rate of allowance (provision) for bad debts would be 10%.

The adjusting entry for allowance (provision) for bad debts will be

	Particulars	P.R.	Debit	Credit
A	Bad debts expense		13,500	
	Allowance (provision) for bad debts			13,500
B	Bad debts expense		21,500	
	Allowance (provision) for bad debts			21,500
C	Allowance (provision) for bad debts		13,500	
	Bad debts expense			13,500
D	Allowance (provision) for bad debts		21,500	
	Bad debts expense			21,500

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17. A business disposed off the equipment at a loss of Rs 9,000.

This loss on disposal will be posted to the

A. credit side of the equipment account.
B. credit side of the profit and loss account.
C. debit side of the profit and loss account.
D. debit side of the equipment account.

18. A business sold an asset costing Rs 840,000 which has a scrap value of Rs 40,000. At the time of disposal, the accumulated depreciation was of Rs 640,000 and the loss at disposal amounted to Rs 80,000.

The entry for the disposal of the asset would be

	Particulars	P.R.	Debit	Credit
A	Asset		840,000	
	Accumulated depreciation		640,000	
	Loss on disposal		80,000	
	Cash			1,560,000
B	Cash		1,560,000	
	Loss on disposal			80,000
	Accumulated depreciation			640,000
	Asset			840,000
C	Cash		120,000	
	Accumulated depreciation		640,000	
	Loss on disposal		80,000	
	Asset			840,000
D	Cash		80,000	
	Accumulated depreciation		640,000	
	Loss on disposal		80,000	
	Asset			800,000

19. Which of the following forms of advance is considered a liability?

A. Advance paid to suppliers
B. Advance received from a customer
C. Advance salaries given to the staff
D. Advance tax paid

20. On April 01, 2019, Ammara paid Rs 72,000 for advertising her new product for twelve months. Her accounting period ends on June 30 each year.

    The amount of advertisement expense shown in the income statement of Ammara for the year ended 2019 will be

    A. Rs 6,000
    B. Rs 18,000
    C. Rs 54,000
    D. Rs 72,000

21. The account title(s) that will be closed at the end of the year would be

    A. fixtures and fittings.
    B. drawings and insurance expense.
    C. cash at bank.
    D. prepaid salaries.

22. The trial balance extract of Sohail Traders as on December 31, 2017 is as follows:

Account Title	Debit	Credit
Salaries expense	16,300	

Data for adjustment:

- Salaries expense for the year amounted to Rs 17,900.

The adjusting entry for salaries expense will be

	Particulars	P.R.	Debit	Credit
A	Salaries expense		17,900	
	Salaries payable			17,900
B	Salaries expense		17,900	
	Cash			17,900
C	Salaries expense		1,600	
	Salaries payable			1,600
D	Salaries expense		1,600	
	Cash			1,600

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23. Which of the following method is known as the usage method of charging depreciation?

A. Diminishing balance method
B. Hours worked method
C. Straight line method
D. Sum of the year digit method

24. The unadjusted trial balance of a business on December 31, 2020 showed the following expenses:

Account Title	Amount (Rs)
Prepaid rent	72,000

If the amount of prepaid rent on December 31, 2020 amounted to Rs 24,000, then the amount of rent shown in the income statement and the statement of financial position (balance sheet) would be

	Income Statement	Statement of Financial Position (Balance Sheet)
A	Rs 48,000	Rs 24,000
B	Rs 48,000	Rs 48,000
C	Rs 96,000	Rs 24,000
D	Rs 96,000	Rs 48,000

25. Salaries expense paid in advance is known as

A. accrued salaries.
B. outstanding salaries.
C. prepaid salaries.
D. salaries payable.

26. The entries that are made at the end of the year to show a true and fair picture of the accounting data are known as the

A. adjusting entries.
B. closing entries.
C. corrected entries.
D. reversing entries.

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27. If an accrued expense is not recorded in the books, then it will impact the income statement and statement of financial position (balance sheet) by having the

	Income Statement	Statement of Financial Position (Balance Sheet)
A	net profit being overstated	current liabilities being overstated
B	net profit being overstated	current liabilities being understated
C	net profit being understated	current liabilities being overstated
D	net profit being understated	current liabilities being understated

28. If there is a gross loss in the income statement of a business, then this means that the

A. cost of sales is less than the net sales.
B. cost of sales is more than the net sales.
C. operating expenses are less than the net sales.
D. operating expenses are more than the net sales.

29. Following details have been provided by the accountant of a business for the month of January 2021.

Account Title	Amount (Rs)
Sales revenue	240,000
Inventory as on January 01,2021	65,000
Purchases	120,000
Inventory as on January 31,2021	55,000
Other incomes	15,000
Operating expenses	45,000

The amount of net profit for the month of January would be

A. Rs 50,000
B. Rs 80,000
C. Rs 110,000
D. Rs 140,000

30. All of the following account titles are shown in the statement of financial position (balance sheet) EXCEPT for

A. accrued rent expense.
B. allowance (provision) for depreciation.
C. drawings.
D. interest income.

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Use the given information to answer Q.31 and Q.32.

The following details are related to the year-end adjustments of Shams Autoparts for the year ended June 30, 2020:

Data from Trial Balance	
Salaries paid during the year	Rs 91,000
Rent paid during the year	Rs 165,000
Data for Adjustments	
Advance salaries amounted to Rs 7,000	
Rent paid is for 11 months and monthly rent for the month of June 2020 is outstanding	

31. If the gross profit of Shams Autoparts amounted to Rs 288,000, then the adjusted net profit of the business for the year ended June 30, 2020 would be

    A. Rs 17,000
    B. Rs 24,000
    C. Rs 32,000
    D. Rs 40,000

32. The amounts that will be reflected after adjustments in the statement of financial position (balance sheet) of Shams Autoparts are

	Assets	**Liabilities**
A	prepaid salaries Rs 7,000	accrued rent Rs 15,000
B	accrued rent Rs 15,000	prepaid salaries Rs 7,000
C	prepaid salaries Rs 84,000	accrued rent Rs 180,000
D	accrued rent Rs 180,000	prepaid salaries Rs 84,000

33. The item that will be shown under the heading of 'cost of sales (cost of goods sold)' of an income statement is

    A. salaries given to the purchase staff.
    B. salaries given to the sales staff.
    C. transportation on purchases.
    D. transportation on sales.

34. Bad debt recovered will affect the net profit and assets as

	Net profit	**Assets**
A	increases	increases
B	increases	decreases
C	decreases	increases
D	decreases	decreases

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Use the given information to answer Q.35 and Q.36.

Aisha Traders bought a car for Rs 500,000. The business paid the registration and transfer charges of Rs 40,000. The business wrongly recorded the whole amount as, 'drawings debit and cash credit'.

35. The type of error made by Aisha Traders is known as the

A. error of compensation.
B. error of omission.
C. error of original entry.
D. error of principle.

36. If the car was for business use, then the entry to rectify the given error would be posted as

	Debit	**Credit**
A	cash Rs 540,000	drawings Rs 540,000
B	cash Rs 540,000	car Rs 540,000
C	car Rs 540,000	drawings Rs 540,000
D	drawings Rs 540,000	car Rs 540,000

37. An accounting error in which an asset is recorded as expense is called an error of

A. commission.
B. complete reversal.
C. original entry.
D. principle.

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38. Ameen Associates recorded the credit purchase of Rs 4,800 from Areesh Limited as sales.

The general entry that will be made to rectify the given error by Ameen Associates would be

	Particulars	P.R.	Debit	Credit
A	Sales revenue		9,600	
	Areesh Limited			4,800
	Purchases			4,800
B	Purchases		9,600	
	Sales revenue			4,800
	Areesh Limited			4,800
C	Sales revenue		4,800	
	Purchases		4,800	
	Areesh Limited			9,600
D	Sales revenue		4,800	
	Areesh Limited		4,800	
	Purchases			9,600

39. The nature of the suspense account is the

A. nominal account.
B. personal account.
C. real account.
D. temporary account.

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40. Naeem Traders, upon the preparation of a trial balance, came to know that the trail balance did not agree with Rs 1,340. After initial review, the following errors were identified by the owner.

- Sales ledger was overcasted by Rs 370.
- Purchases of Rs 440 were recorded as the purchase of furniture.
- Expense paid Rs 530 was not recorded in the books.

Suspense Account		
	Balance b/d	1,340

The ending balance of the given suspense account, after correcting the given errors will be

A. Rs 1,710
B. Rs 810
C. Rs 900
D. Rs 970

41. The accountant of Anamta Traders mistakenly added the amount of purchases costing Rs 12,000 into the ending inventory. The gross profit of the business because of the error was Rs 128,000.

The gross profit after the correction of the error would be

A. Rs 104,000
B. Rs 116,000
C. Rs 140,000
D. Rs 152,000

42. Understatement of sales ledger will result in a/ an

A. decrease in asset.
B. decrease in net profit.
C. increase in capital at end.
D. increase in gross profit.

43. An accountant recorded sales of Rs 20,000 as, 'sales debit and cash credit by Rs 20,000'.

If the corrected entry is made, then this will cause the assets and revenue to

	Asset	Revenue
A	increase	increase
B	increase	decrease
C	decrease	increase
D	decrease	decrease

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44. Which of the following is an example of error of commission?

A. An asset treated as an expense
B. Purchase of goods of Rs 18,000 recorded in the books as 81,000
C. Purchase of a machine not recorded in the books of accounts
D. Sales to Mr X has been recorded to Mr Y's account

45. An owner of a business withdrew goods of Rs 19,000 from the business. This transaction was not recorded in the books of accounts.

The effect of the given transaction on the income statement of the business would be that the

A. cost of sales would be overstated.
B. gross profit would be overstated.
C. net profit would be overstated.
D. sales revenue would be overstated.

46. Kopy Stationary Store prepared the following entry for the sales return from a customer.

	Particulars	P.R.	Debit	Credit
	Sales return		10,000	
	Trade payables (accounts payable)			10,000

The general entry that will be made to correct the given error would be

	Particulars	P.R.	Debit	Credit
A	Trade payables (accounts payable)		10,000	
	Sales return			10,000
B	Trade receivables (accounts receivable)		10,000	
	Sales return			10,000
C	Sales return		10,000	
	Trade receivables (accounts receivable)			10,000
D	Trade payables (accounts payable)		10,000	
	Trade receivables (accounts receivable)			10,000

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47. Goods sold to Star Traders were wrongly posted to the account of Stairs Traders.

This error can be rectified by

A. crediting both Stairs Traders account and Star Traders account.
B. debiting both Stairs Traders account and Star Traders account.
C. debiting Stairs Traders account and crediting Star Traders account.
D. debiting Star Traders account and crediting Stairs Traders account.

48. The senior accountant of a business identified the following errors in the books:

- Commission expense of Rs 15,000 was recorded as commission income.
- Rent paid of Rs 12,000 was not recorded in the books.

If the unadjusted net profit of the business amounted to Rs 145,000, then the adjusted profit would be

A. Rs 103,000
B. Rs 118,000
C. Rs 142,000
D. Rs 148,000

49. Ahmer is a regular customer of Jalal Traders. Jalal Traders received Rs 12,000 from Ahmer that did not specify the invoice for which the payment is intended for.

The general entry that will be made by the accountant of Jalal Traders at the time of the receipt will be

	Particulars	P.R.	Debit	Credit
A	Cash		12,000	
	Trade payable (account payable)			12,000
B	Trade receivable (account receivable)		12,000	
	Cash			12,000
C	Trade receivable (account receivable)		12,000	
	Trade payable (account payable)			12,000
D	Cash		12,000	
	Trade receivable (account receivable)			12,000

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50. The following records have been extracted from the books of Aslam Traders.

Account Title	Amount (Rs)
Trade receivables (accounts receivable) December 31, 2016	250,000
Allowance (provision) for the bad debts January 01, 2016	17,000

The business follows the policy of recording bad debts @ 12% of the ending balance of trade receivables (accounts receivable). The Accountant of Aslam Traders wrongly recorded the allowance (provision) for bad debts for the year as Rs 30,000.

The general journal entry to rectify the given error will be

	Particulars	P.R.	Debit	Credit
A	Bad debts expense		17,000	
	Allowance (provision) for bad debts			17,000
B	Allowance (provision) for bad debts		17,000	
	Bad debts expense			17,000
C	Bad debts expense		30,000	
	Allowance (provision) for bad debts			30,000
D	Allowance (provision) for bad debts		30,000	
	Bad debts expense			30,000

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